
This act summary is provided for the convenience of the public and members of the General Assembly. It is intended to provide a general summary of the act and may not be exhaustive. It has been prepared by the staff of the Office of Legislative Counsel without input from members of the General Assembly. It is not intended to aid in the interpretation of legislation or to serve as a source of legislative intent.

Act No. 168 (H.944). An act relating to the fiscal year 2027 Transportation Program and miscellaneous changes to laws related to transportation

Subjects: Transportation; speed limits; Agency of Transportation; bonding; mileage-based user fee; Drive Electric Vermont; Public Transit Advisory Council; annual Transportation Program; Transportation Board; Transportation Alternatives Grant Program; Municipal Equipment and Vehicle Loan Fund; State highway design standards; bridge inspections; public-private partnerships; Green Mountain Transit Authority; Caledonia County State Airport; electric vehicle supply equipment (EVSE); intelligent speed assistance; log drives

This act:

- Transportation Program. Adopts the Agency of Transportation's (Agency or AOT) Proposed Fiscal Year 2027 Transportation Program except as amended in the act and defines terms used throughout the act.
- Fiscal Year 2026 Transportation Investments Intended to Reduce Transportation-Related Greenhouse Gas Emissions, Reduce Fossil Fuel Use, and Save Vermont Households Money. Summarizes certain transportation investments.
- Paving. Allocates an additional \$1,700,000.00 for Statewide District Leveling.
- State Highway Bridges. Replaces \$1,750,000.00 of project funding from the Transportation Fund with \$1,750,000.00 from the Transportation Infrastructure Bond Fund.
- Transportation Infrastructure Bonds. Requires the Agency to report to the General Assembly in January 2027 regarding projects that are eligible to be funded with transportation infrastructure bonds that are not in the Fiscal Year 2028 Transportation Program and could be advanced to construction in fiscal year 2028 or 2029 if bonding was authorized for project funding.
- Mileage-Based User Fee. Establishes the mileage-based user fee program in the Department of Motor Vehicles. Under the program, electric vehicles (EVs) will pay a fee of 1.4 cents per mile traveled during an annual reporting period, with a maximum annual fee of \$178.00. The act provides that currently registered EVs will begin their initial reporting period with the EV's annual inspection in 2027, while newly registered EVs will commence their initial reporting period upon registration in Vermont. Owners and lessees who renew their EV's registration prior to the completion of the initial reporting period will pay a one-time road usage charge at the time of registration that is equal to \$89.00 for a one-year registration and \$178.00 for a two-year registration, which will be applied as a credit against the amount of the mileage-based user

fee due for that EV. For EVs whose registration will not be renewed until after the first reporting period, the most recent EV infrastructure fee paid for that EV will be applied as a credit against the amount of the mileage-based user fee due. In addition, the act requires the Agency and the Department of Motor Vehicles to submit reports to the General Assembly regarding the implementation of the program, a plan and proposed legislation to expand the program to plug-in hybrid vehicles, additional methods for owners and lessees to track vehicle miles traveled, and other potential updates to the program. The act also makes amendments to the infrastructure fee for plug-in hybrid vehicles, requires the Agency and the Department of Motor Vehicles to conduct outreach and education and to solicit feedback regarding the mileage-based user fee program, and requires the Department of Taxes to examine potential options to replace the sales tax on the sale of electricity through public charging stations with other mechanisms generating Transportation Fund revenue from public charging stations.

- Repeal of Municipal Equipment and Vehicle Loan Fund Rules. Repeals rules related to the former Municipal Heavy Equipment Loan Fund.
- Statement of Policy; Highways and Bridges. Makes technical amendments to clarify provisions relating to Vermont standards for roadway design and the application of certain federal signage requirements to roadways with lower design speeds.
- Agency of Transportation; Duties. Increases the maximum contract amount for which the Secretary of Transportation may waive bonding requirements and permits the Secretary to waive contract bonding requirements for temporary stabilization work during an emergency.
- Bridge Inspection; Posting; Closure. Brings State statutes into compliance with the National Bridge Inspection Standards regarding inspection, posting, and closure of bridges and creates a penalty of up to \$1,000.00 for violating a bridge posting or closure.
- Public Transit Advisory Council. Makes various changes to the membership of the Public Transit Advisory Council.
- Green Mountain Transit Authority. Permits the Green Mountain Transit Authority to include voluntary member contributions, grants, donations, and other nonassessment revenue in its annual budget.
- Public-Private Partnership Sunset Extension. Extends AOT's authority to enter into public-private partnerships until July 1, 2029.
- Transportation Board. Limits the Transportation Board's authority to hear Section 1111 permit appeals to appeals by the applicant or permittee.
- Transportation Alternatives Grant Program. Permanently increases the maximum grant amount to \$600,000.00, with a temporary increase to \$1,200,000.00 for fiscal year 2027. This act also eliminates the requirement that 50 percent of Grant Program funds be reserved for environmental

mitigation projects and provides preferential weighting for sand and salt shed projects.

- Consultation Regarding Municipal Programs. Requires AOT to continue to work with stakeholders on studies from 2025 Acts and Resolves No. 43 regarding the cancellation of locally managed projects and identifying potential efficiencies related to town highway aid and municipal grant programs, as well as to work with stakeholders to develop recommendations related to simplifying and clarifying the statutes related to establishing municipal speed limits.
- Drive Electric Vermont. Appropriates \$242,000.00 to the Agency to continue the Agency's work with Drive Electric Vermont.
- Caledonia County State Airport. Amends requirements for the sale of Caledonia County State Airport and extends authority for the State to sell or lease the airport to November 1, 2027.
- Medical Transports. Authorizes AOT to provide grants to public transit agencies to support recruitment and retention of volunteer drivers and mobility management activities related to nonemergency medical transports.
- Real-Time Status of Public EVSE. Requires public electric vehicle charging stations that are installed or reconditioned after September 30, 2026, to make certain real-time information available to third-party software developers.
- EVSE Installation in Common Interest Communities. Prohibits common interest communities from placing unreasonable restrictions on the installation of EV chargers in certain locations.
- Intelligent Speed Assistance. Requires the Department of Motor Vehicles to report to the General Assembly regarding the potential for implementing an intelligent speed assistance program in Vermont.
- Repeals; Log Drives. Repeals outdated provisions related to log drives.

Multiple effective dates, beginning on April 30, 2026

See budget chart on following page.

TRANSPORTATION APPROPRIATIONS OVERVIEW									
FY 2027 Budget By Fund - As Passed									
	% ALL	All Funds	% TF	T-Fund	Federal	Local/Other	InterDept	TIB	Int Svc Fund
B.910 DEPT. OF MOTOR VEHICLES	5.5%	51,845,378	14%	46,545,599	4,978,081		121,698		
B.900 FINANCE & ADMINISTRATION	2.7%	25,489,292	7%	24,169,252	1,320,040				
B.903 PROGRAM DEVELOPMENT									
Paving	16.0%	149,900,421	8%	26,110,413	123,776,773	13,235			
Interstate Bridge	5.5%	51,302,678	0%		46,197,410			5,105,268	
State Highway Bridge	9.1%	84,963,305	0%	1,123,295	67,368,444	1,247,049	7,279,666	7,944,851	
Roadway	5.8%	53,945,152	1%	3,855,612	44,219,485	1,193,101	3,051,637	1,525,317	
Traffic & Safety	5.8%	53,883,774	0%	1,102,084	50,697,874	2,083,816			
Park & Ride	0.2%	1,676,211	0%	150,000	1,826,211				
Bike & Pedestrian Facilities	2.6%	24,576,873	0%	1,524,777	18,540,741	4,511,355			
Transportation Alternatives	0.5%	4,514,362	0%		3,811,490	902,872			
Program Development Administration	4.3%	39,886,968	10%	32,909,520	6,797,448	280,000			
Total Program Development	49.7%	465,049,744	20%	66,875,701	363,035,876	10,231,428	10,331,303	14,575,436	0
B.904 REST AREAS	0.0%	450,000	0%	45,000	405,000				
B.906 POLICY & PLANNING	1.5%	13,922,850	1%	2,378,766	11,444,134		99,950		
B.906.1 ENVIRONMENTAL POLICY & SUSTAINABILITY	1.6%	14,944,538	0%	371,589	11,025,693	2,405,561	1,141,695		
B.905 MAINTENANCE	12.0%	112,526,675	33%	109,994,661	2,432,014		100,000		
B.908 PUBLIC TRANSIT PROGRAM	6.2%	57,855,147	3%	9,947,447	46,607,700		1,300,000		
B.901 AVIATION	1.4%	12,980,880	2%	6,710,146	6,270,734				
B.907 RAIL	6.4%	60,289,410	4%	12,548,774	34,688,907	5,197,677	6,854,052	1,000,000	
B.907.1 RAIL TRAIL PROGRAM	0.4%	3,635,029	0%	478,272	1,769,326		1,387,431		
B.909 CENTRAL GARAGE	2.8%	26,070,502	0%						26,070,502
B.902 TRANSPORTATION BUILDINGS	0.2%	1,700,000	1%	1,700,000					
Total "VTrans" Programs	90.4%	846,559,443	85.0%	281,765,207	483,977,505	17,834,666	21,336,127	15,575,436	26,070,502
B.914 TOWN HIGHWAY BRIDGES	3.2%	30,278,382	0%		25,604,186	1,643,960	255,672	2,774,564	
B.911 TH STRUCTURES	0.8%	7,394,400	2%	7,394,400					
B.913 TH CLASS 2 ROADWAY PROGRAM	0.9%	8,832,200	3%	8,832,200					
B.917 TH - NONFEDERAL DISASTERS	0.1%	1,150,000	0%	1,150,000					
B.918 TH - FEDERAL DISASTERS	0.4%	4,000,000	0%		4,000,000				
B.915 TH AID PROGRAM	3.3%	31,240,042	9%	31,240,042					
B.916 TH CLASS 1 SUPPLEMENTAL GRANTS	0.0%	128,750	0%	128,750					
B.912 TH VERMONT LOCAL ROADS	0.1%	481,452	0%	121,452	360,000				
B.919 MUNICIPAL MITIGATION ASSISTANCE PROGRAM	0.7%	6,143,000	0%	715,000	1,428,000	4,000,000			
Total "Town Highway" Programs	9.6%	89,648,226	15.0%	49,581,844	31,392,186	5,643,960	255,672	2,774,564	0
B.921 TRANSPORTATION BOARD	0.0%	195,304	0%	195,304					
B.922 TOTAL AOT PROGRAMS		936,402,973		331,342,355	515,369,691	23,478,626	21,591,799	18,350,000	26,070,502
One-Time Appropriations									
H.944 Drive Electric Vermont		242,000		242,000					
B.1100 Relocate Central Garage		1,360,069		1,360,069					
B.1100 Demand Response Volunteer Coordinators - GF		300,000				300,000			
B.1100 Caledonia County Disaster Aid - GF		1,347,107				1,347,107			
B.1100 Town Highway Aid - PILOT Fund		3,000,000				3,000,000			
Total		6,907,176		1,602,069		4,647,107			
Transportation Fund Appropriations Not in AOT Budget or T-Bill									
B.114 BGS for Info Center Operations		4,710,621							
F.109 Pay Act		3,000,000							
B.802 ACCD EVSE		1,000,000							
TOTAL OTHER TF APPROPRIATIONS		8,710,621							
TOTAL T-FUND APPROPRIATIONS		341,655,045							
Other Transfers and Adjustments to Transportation Fund									
Revenue (into) TF									
From Other Funds to TF		(140,000)							
From Insurance Reserve Fund to TF		(1,360,069)							
Transfers from TF									
Transfer from TF for transp-related debt service		294,775							
Transfer from TF to Downtown Fund		523,966							
Transfer from TF to Rec Trails Fund (10 VSA 446)		370,000							
Transfer from TF to Central Garage (19 VSA 13)		1,694,212							
Transfer from TF to Stabilization Reserve		1,095,760							
TOTAL NET TRANSFERS		2,478,644							

Logan Macberry 7/6/2026 JFO